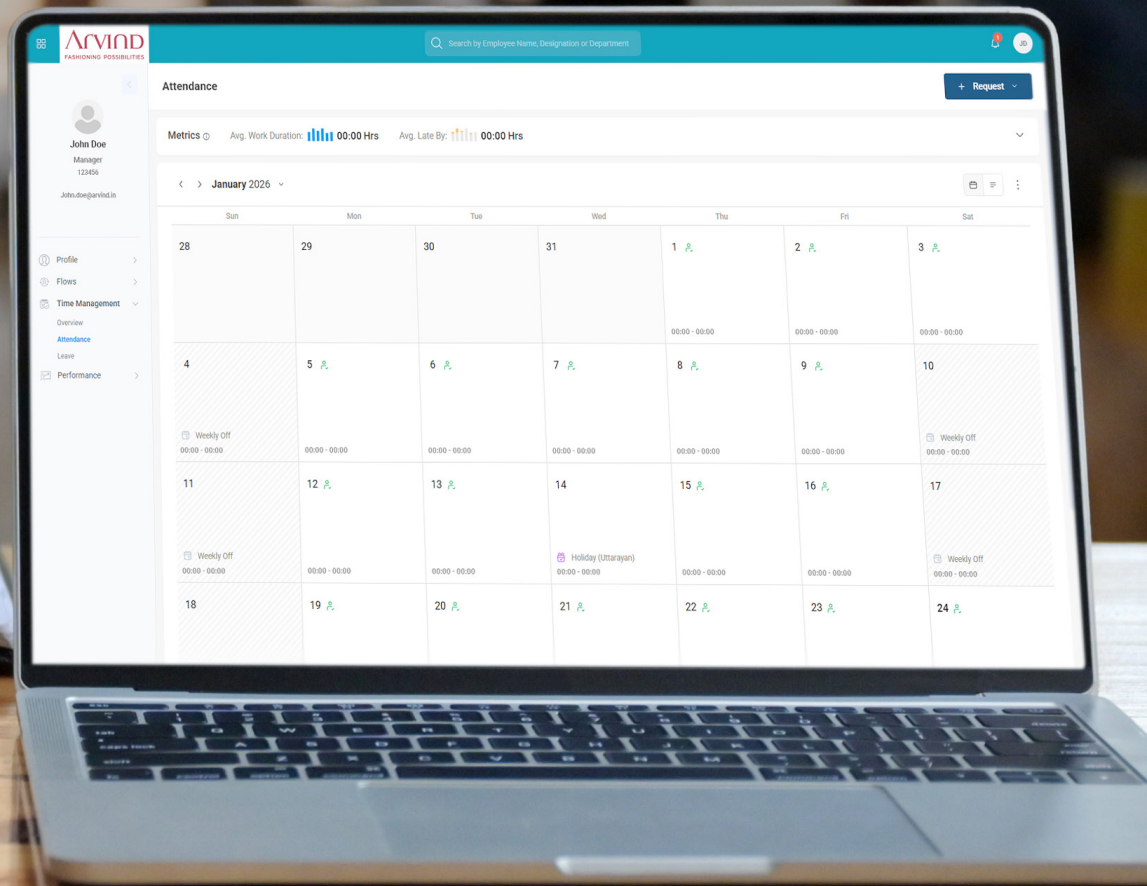


ATTENDANCE & LEAVE POLICY



Prepared by:

Human Resources Department, Arvind Limited

Issue Date: **01.01.2026** | Effective From: **01.01.2026**

Policy Number: **ARV|Corporate|ELC_LEA|006|010126**

Arvind Limited, Naroda Road, Ahmedabad



OBJECTIVE:

The objective of this policy is to provide guidelines for attendance and regulate all forms of leave that are accrued and due to employees as a benefit, and to outline procedures to be followed for the granting and availing of such leave.

APPLICABILITY:

Applicable to all Management/staff cadre employees working in corporate division

EFFECTIVE DATE:

01.01.2026

WORKING HOURS:

The employees under corporate division shall be classified under Full Time category.

Working hours shall be: 09:30 hrs. to 18:00 hrs.

ATTENDANCE SYSTEM:

- a. Respective Business HR team will arrange for ID card & facial recognition enrollment for recording the attendance of the new joiner within 5 days of his / her joining
- b. It is mandatory that employees punch in and out at the time of entering and exiting the office.**
- c. Locations where electronic machines are not installed, access to attendance app shall be provided to the employee. Employee can connect with their respective BUHR's for such access.
- d. In case of lost I-Card, new card will be issued to the employee after submitting the I-card requisition form
- e. It is recommended that employees apply for leaves and get it approved from their manager before proceeding for the leave**
- f. All employees are supposed to wear the I-card all time in office premises

LEAVE ACCOUNTING YEAR:

All leave account is operated on a calendar year basis i.e. from January to December. Pro rata adjustments of leave shall be made to bring entitlements in line with joining of the employee.



LEAVE ENTITLEMENTS:

EMPLOYEE TYPE	EMPLOYEE SUB TYPE	TYPE OF LEAVE	ENTITLEMENTS	WEEKLY OFFS
Full Time	FT - General	Privilege Leave	21	Any two Saturdays & All Sundays
		Casual Leave	8	
	FT - Shift	Privilege Leave	31	1 Weekly off per week
		Casual Leave	8	
Trainee	T - General	Privilege Leave	21	Any two Saturdays & All Sundays
		Casual Leave	8	
	T - Shift	Privilege Leave	31	1 Weekly off per week
		Casual Leave	8	

LEAVE RULES:

1. Privilege Leave (PL):

- Privilege leaves shall accumulate up to 90 days
- Maximum 10 days can be carried forward to the next year
- 50% of unused balance post carry forward (if any) shall be encashed by March of the subsequent year @Consolidated / Basic Salary. Please refer Annexure 1 for sample calculation.
- Leave accruals shall happen on a monthly basis at the start of every month
- For employees joining between 1st to 15th will get full month credit while employees joining between 16th to 30th / 31st will get the benefit of half month credit.
- For the purpose of calculating the leave balance for encashment during the full and final settlement, for employees having their last working day between 1st to 15th will get half month credit and for employees having their last working day between 16th to 30th / 31st will get full month credit.
- Privilege leave can be prefixed and / or suffixed with National Holidays and / or weekly offs without such holidays and / or weekly offs being counted towards PL. This in effect implies, that only working days shall be counted towards PL
- For employees who have an opening balance of 90 days, and has not utilized the allotted leaves for the respective calendar year, shall have no carry forward as the maximum accumulation can be 90 days only and the opening balance for the subsequent year shall also be 90 days. The carry forward days (10) shall lapse and 50% of the balance unused days from the current year allotment shall be encashed @Consolidated / Basic Salary. Refer Annexure 3 for sample calculation.



2. Casual Leave (CL):

- a. Shall lapse at the end of the year and is **not encashable**.
- b. Casual leave can be prefixed and / or suffixed with National Holidays and / or weekly offs without such holidays and / or weekly offs being counted towards CL. This in effect implies, that only working days shall be counted towards CL
- c. Leave accruals shall happen on a quarterly basis at the start of every quarter
- d. Excess availed CL (if any) will be adjusted from PL balance at the time of Full & Final settlement.

3. Sick Leave:

Sick Leaves have been made liberal and flexible in nature to be employee friendly. Sick leave can be claimed as per the below mentioned process:

- a. If the employee is ill for 3 days or more, he / she can apply for Sick leave through Darwin Box while supporting such claim with MD Doctor's certificate AND, medical prescription coupled with Medical bills OR investigative reports if any
- b. Such leaves when approved by the Reporting Manager and the BUHR Head, after validation of documentary proof, shall be treated as sanctioned sick leave.
- c. When Sick Leave applied for, is approved for 30 days or more, additional approval of CEO apart from Reporting Manager and BUHR Head shall be required. Both such approvals shall be contingent on validation of relevant documentary proof as mentioned above
- d. In case of accident, the company has taken a PAGR policy to cover all its employees. Since the employees get benefit through the PAGR policy, he / she will not be eligible for a Sick Leave. In case if the employee has already availed sick leave for the same accident, he / she will have to return the compensation benefit received under the PAGR scheme (He / she will still be entitled to receive the medical expenses as per the policy)
- e. Employees covered under the ESI act are not entitled for the sick leave benefits under this policy for the period that they are so covered
- f. In case if employee is found to be violating the rules / falsifying any documents that strict disciplinary action shall be taken against him / her

4. National Holidays:

- a. Optional Leaves have been introduced as part of our National Holiday calendar wherein 8 leaves are fixed across the business and employees have the flexibility to choose 2 days from a predefined list, as per their preference for a holiday
- b. Optional Leave can be availed only on prior approval of Manager and **can be applied for only in advance** of the date the optional holiday is scheduled for.
- c. There shall be no encashment in case if an employee has not availed the benefit of optional leave
- d. The list of Fixed and optional holiday is available on Darwinbox.

**5. Paternity Leave:**

- a. Employee is entitled to a leave of 5 working days, to be availed within 15 days of the birth of the child only on approval of manager & BU-HR Head.
- b. This benefit can be availed upto a maximum of 2 children during an employee's tenure with the company
- c. This leave can neither be carried forward nor encashed
- d. This leave needs to be taken at a stretch and cannot be in parts
- e. The employee has to submit the birth certificate/proof of birth from hospital, to avail this leave

6. Maternity Leave:

- a. Employee is entitled to paid leave 26 weeks for two surviving children and 12 weeks for more than two children.
- b. Employee has the flexibility to spread the period of 26 OR 12 weeks before and after delivery
- c. A woman suffering from illness arising out of pregnancy, delivery, premature birth of child or miscarriage shall, on production of such proof as may be prescribed, be entitled, in addition to the period of absence allowed to her under section 6, or, as the case may be, under section 9, to leave with wages at the rate of maternity benefit for a maximum period of one month.
- d. Commissioning mother (biological mother who uses her egg to create an embryo implanted in any other women) and Adopting mother (who legally adopts a child below the age of three months) are also entitled to a paid leave of 12 weeks from the date the child is handed over to the adopting mother or the commissioning mother as the case may be
- e. In case of miscarriage or medical termination of pregnancy, a woman shall, on production of such proof as may be prescribed, paid leave for a period of six weeks immediately following the day of her miscarriage or, as the case may be, her medical termination of pregnancy
- f. In case of tubectomy operation, a woman shall, on production of such proof as may be prescribed, be entitled to paid leave for a period of two weeks immediately following the day of her tubectomy operation
- g. Every woman delivered of a child who returns to duty after such delivery shall, in addition to the interval for rest allowed to her, be allowed in the course of her daily work two breaks of prescribed duration for nursing the child until the child attains the age of fifteen months
- h. Such leaves shall be approved by the manager and BUHR on submission of necessary proofs. In case of any clarifications required to the leave policy, final decision shall be based on the Amended Maternity Benefit Act, 1961 enacted by the Parliament of India.

7. Fertility Leave:

- a. Any women employee who opts for a fertility treatment shall be entitled to 2 months leave at 50% salary of fixed CTC
- b. This leave can be availed only on approval of the manager and the BU-HR Head
- c. Relevant proofs will need to be submitted for claiming this leave. This leave can neither be carried forward nor encashed



8. Adoption Leave:

- a. Any male employee adopting a child, shall be entitled to 15 days of Adoption Leave if legally adopting a child within 3 months of adopting the child.
- b. This leave can be availed only on approval of the manager and the BU-HR Head
- c. Relevant proofs will have to be submitted for claiming this leave. This leave can neither be carried forward nor encashed

9. Authorized Leave Without Pay:

- a. In exceptional cases, any employee who does not have sufficient leave balance and requires to take a leave, has the option to apply for LWP in advance, which will lead to deduction of salary in the same month
- b. Such leaves shall be approved by the reporting manager

10. Registering Leave / Time Correction:

- a. Window for attendance / leave / comp – off regularization shall be 14 days including application & approval.
- b. This implies that the employee has 7 days to request for regularization and manager has 7 days to approve / reject the request. In case if manager does not action this request in 7 days, such requests shall be **auto-approved** on the 8th day
- c. Salary Deduction:
 - For April salary, the attendance till 10th April should be regularized failing which it shall account to Loss of Pay (LOP).
 - For May payroll, the attendance till 10th May should be regularized failing which it shall account to LOP.
 - All weekly offs / holidays shall also be sandwiched and account for LOP



The salary deduction shall be done as per below table:

SALARY MONTH	UNREGULARIZED ATTENDANCE FROM	UNREGULARIZED ATTENDANCE FROM
January - 2026	11 th December 2025	10 th January 2026
February - 2026	11 th January 2026	10 th February 2026
March - 2026	11 th February 2026	10 th March 2026
April - 2026	11 th March 2026	10 th April 2026
May - 2026	11 th April 2026	10 th May 2026
June - 2026	11 th May 2026	10 th June 2026
July - 2026	11 th June 2026	10 th July 2026
August - 2026	11 th July 2026	10 th August 2026
September - 2026	11 th August 2026	10 th September 2026
October - 2026	11 th September 2026	10 th October 2026
November - 2026	11 th October 2026	10 th November 2026
December - 2026	11 th November 2026	10 th December 2026

- d. All requests for Calendar year should be applied and approved for by 30th December, post which the cycle shall be locked for year-end closure process. Any unapproved request as on 30th December, shall be auto-approved on 31st December.
- e. **The onus lies with the employee for the approval of time correction / leave requests by the manager within 7 days of regularization request. Any non – regularization (dates with both punch / single punch missing) leads to loss of pay including sandwiching holidays / weekoffs.**
- f. Any deductions on account of non-regularization shall not be revoked in any case.

11. Compensatory Off:

- a. Applicability: Upto grade M2
- b. Eligibility
 - Weekdays
 - Employee should have worked for 16 hours at a stretch
 - Weekly Off/ Holiday
 - Employee should have worked for 8 hours to generate 1 Compensatory Off
 - Employee should have worked for 16 hours to generate 2 Compensatory Off
- c. Managers should ensure that if employees come on a week-off / holiday, they have sufficient qualitative work to do for the stipulated and should not be misused.



d. Process:

- **Auto Comp Off Request:** If eligible, a comp off request will auto-generate and it will trigger for manager approval. Comp off claims won't be auto-approved.
- **Comp Off Balance:** Once approved, comp off balance will be credited to the employee's balance and can be used as leave.
- **Eligibility by Grade:** Employees in grade M2 will be entitled to take comp off leave (no encashment).
- **Expiry of Unused Comp Off:** Unused comp off leave expires at the end of the year.
- **Encashment:** For employees in grades up to M1 are also entitled to encashment in case if they haven't availed comp off leave. The encashment shall be restricted for a maximum of 30 days and shall be done at twice the consolidated / basic salary. For Encashment of the comp off current grade will be considered at a time of disbursement.
- **Ineligibility Conditions:** Employees can't claim comp off during OD travel days or work-from-home days.

OTHER TERMS & CONDITIONS:

- For new joiners, employees transferred within different businesses / divisions, employees transferred between different categories, leave calculation shall be prorated and adjusted as per the new business / category the employee is transferred to effective their date of joining / transfer which can be effective the 1st of the subsequent month
- Managers are empowered to monitor the working hours of the employee and they have been given an access in Darwinbox to check the same.
- It is desirable that the employees observe due diligence in availing leaves for ensuring smooth operation / activities
- Automatic email alerts will be sent to all employees
- **Unauthorised Absent in case of loss of pay, holidays / week offs shall be sandwiched and shall also account to loss of pay.**
- Absence of an employee for the continuous period of eight (8nos') days or more from the duty without written intimation to the Reporting Manager ('RM') along with Business HR shall be deemed as a voluntary act of abandonment of services by such employee. Post intimation employee is required to obtain written permission from the reporting manager & Business HR within 7 days from the date of such absence. Failing to intimate or obtain permission, the Company reserves the right to proceed with appropriate proceedings or action including termination of an employee without giving any notice.

Please Note: The management reserves all right to append, modify, withdraw any part or complete policy at any time without any prior notice.



ANNEXURE 1 – EMPLOYEES IN G CATEGORY (SAMPLE CALCULATION)

YEAR	SR. NO.	PARTICULARS	DAYS	REMARKS
2026	A	Credited from Last Year	80	
	B	Total Allotment for 2026	21	
	C	Leaves used in 2025	0	
	D	Closing Balance for 2025 (C Minus B)	21	
	E	Carry Forward to 2026 (From D - Closing Balance for 2025)	10	
	F	Balance Days (E Minus D)	11	
	G	Encashment for 2025 to be done by March 2026 @ 50% days ($F \div 2$)	5.5	
2027	H	Credited from 2026 (A+E)	90	
	I	Total Allotment for 2027	21	
	J	Leaves used in 2026	5	
	K	Closing Balance for 2026 (J Minus I)	16	
	L	Carry Forward to 2027 (From I - Closing Balance for 2026)	10	
	M	Balance Days (L Minus K)	6	
	N	Encashment for 2026 to be done by March 2027 @ 50% days ($M \div 2$)	3	
2028	O	Credited from 2027 (H+L)	90	Since the accumulation can be max 90 days the 10 days which gets carried forward from the previous year shall lapse
	P	Total Allotment for 2028	21	
	Q	Leaves used in 2027	30	
	R	Closing Balance for 2027 (Q Minus P)	-9	
	S	Carry Forward to 2028 (From R - Closing Balance for 2027)	0	Since the leaves utilized (Q) are higher than the total allotment (P), there shall be no carry forward
	T	Balance Days (L Minus K)	0	
	U	Encashment for 2027 to be done by March 2029 @ 50% days ($T \div 2$)	0	Since the availment is higher than the yearly allotment, there shall be no encashment



ANNEXURE 2

CATEGORY	PARTICULARS	01-Jan 2026	01-Feb 2026	01-Mar 2026	01-Apr 2026	01-May 2026	01-Jun 2026	01-Jul 2026	01-Aug 2026	01-Sep 2026	01-Oct 2026	01-Nov 2026	01-Dec 2026
PL G Category	Monthly Accruals	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75
	Monthly Accruals (Rounded Off) and shown in the system	1.5	2.0	1.5	2.0	1.5	2.0	1.5	2.0	1.5	2.0	1.5	2.0
	Total Balance at the start of the month		3.50	5.25	7.00	8.75	10.50	12.25	14.00	15.75	17.50	19.25	21.00
	Monthly Accruals	2.58	2.58	2.58	2.58	2.58	2.58	2.58	2.58	2.58	2.58	2.58	2.58
PL S Category	Monthly Accruals												
	Monthly Accruals (Rounded Off) and shown in the system	2.50	2.50	2.50	2.50	2.50	2.50	3.00	2.50	2.50	2.50	2.50	3.00
	Total Balance at the start of the month		5.00	7.50	10.00	12.50	15.00	18.00	20.50	24.00	25.50	28.00	31.00
	Quarterly Accruals		2			2			2			2	
CL G/S Category	Total Balance at the start of the month	2			4			6			8		



ANNEXURE 3

SCENARIO 1 (G CATEGORY EMPLOYEE)	
Opening Balance on 1 st Jan 2026	90
Annual allotment for G category	21
Total Leave Balance for 2026	111
Used	0
Carry Forward to 2027 from Annual Allotment	0
Leave encashment	5.5
SCENARIO 2 (G CATEGORY EMPLOYEE)	
Opening Balance on 1 st Jan 2026	90
Annual allotment for G category	21
Total Leave Balance for 2026	111
Used	10
Carry Forward to 2027 from Annual Allotment	0
Leave encashment	0.5

